

Celsius Holdings/PepsiCo Distribution Partnership Conference Call

Company Participants

- Cameron Donahue, Investor Relations
- Jarrod Langhans, Chief Financial Officer
- John Fieldly, Chief Executive Officer

Other Participants

- Andrea Teixeira, Analyst, JP Morgan
- Anthony Vendetti, Analyst, Maxim Group
- Bonnie Herzog, Analyst, Goldman Sachs
- Jeff Van Sinderen, Analyst, B. Riley
- Kaumil Gajrawala, Analyst, Credit Suisse
- Kevin Grundy, Analyst, Jefferies
- Mark Astrachan, Analyst, Stifel
- Peter Grom, Analyst, UBS
- Sean McGowan, Analyst, ROTH Capital Partners

Presentation

Operator

Greetings, and welcome to the Celsius Holdings/PepsiCo Distribution Partnership Conference Call. At this time, all participants are in a listen-only mode. A question-and-answer session will follow the formal presentation. (Operators Instruction). As a remainder, this conference is being recorded. I would now like to turn the conference over to Cameron Donahue of Investor Relations with Celsius Holdings. Thank you. You may begin.

Cameron Donahue {BIO 16529132 <GO>}

Thank you and good afternoon, everyone. We are excited to host the call today to discuss and provide additional details on our pre-market PepsiCo Distribution and Investment announcement. Joining me on the call today are John Fieldly, President, Chief Executive Officer, and Jarrod Langhans, Chief Financial Officer. Following the prepared remarks, we will open the call to your questions and instructions will be given at that time.

The slide presentation that will accompany today's call as well as the press release announcing the PepsiCo agreement will be available on the company's website,

celsiusholdingsinc.com under the Investor Relations section. As a reminder, before I turn the call to John, an audio replay will be available on our website. Please also be aware, this call may contain forward-looking statements which are based on forecasts, expectations, and other information available to management as of August 1, 2022.

These statements involve numerous risks and uncertainties, including many that are beyond the Company's control. Except to the extent as required by law, Celsius Holdings undertakes no obligations and disclaims any duty to update any of these forward-looking statements. We encourage you to review, both our Safe Harbor Statements included in today's press release at the beginning of our presentation and as well as our quarterly filings with the SEC for additional information.

In addition, due to current quite few restrictions and upcoming August 9, 2022 Second Quarter Earnings Release and Conference Call, questions will be limited to the PepsiCo Distribution Investment agreement. Celsius will be holding the second quarter earnings call next Tuesday, August 9 at 4:30 PM Eastern and will issue a formal press release free market tomorrow morning with the specific call details [ph]. With that I'd like to turn the call over to President and Chief Executive Officer, John Fieldly, for his prepared remarks, John?

John Fieldly {BIO 17560616 <GO>}

Thank you, Cameron, and good afternoon, everyone, and thank you for joining us today. We are excited to announce the transformational partnership today as we work to become a leading beverage player across North America as well as internationally, as we now have the ability to reach more consumers, more markets, more channels across the world.

Today, we will provide additional color on the transaction as we combine best-in-class distribution with our company, which has been a key driver in the significant growth seen in the energy category. Starting on slide three, as the world leader in food and beverage PepsiCo holds the number two position in beverage globally, with distribution across all channels and occasions, highlighted by their leading DSD network and brand-building capabilities.

This agreement, effective as of today as the fastest growing lifestyle energy brand in the United States, Celsius, to PepsiCo's growing energy portfolio and grant Celsius access to strengthen its scale of the PepsiCo's vast distribution network. Celsius has disrupted the energy category. Establishing the brand is the number one driver responsible for 37% of the category growth bringing in over \$37.5 million incremental sales to the category as previously announced in our first quarter earnings call and based on the four weeks ending April 17, 2022 IRI MULO+C reporting.

Our best-in-class momentum growth trajectory is expanding the energy category through our more diverse consumer. We have over 50% female sales mix. Our proprietary formula provides proven functional benefits including both calorie and

fat burning validated through peer-reviewed clinical trials. Celsius is made with healthier ingredients such as ginger, guarana, green tea, and seven essential vitamins with no sugar, aspartame, artificial colors or flavors, and a certified gluten-free kosher and non-GMO, backed by our strong innovation and portfolio expansion, Celsius is a first mover and a leading player in bringing health and wellness trends to the energy category.

Turning to slide four, as a review of the transaction, Celsius and PepsiCo have entered into a long Distribution Agreement and Associated Investment. PepsiCo has become Celsius's preferred distributor in the United States with future expansion opportunities as our preferred global distribution partner. Celsius enhances PepsiCo's existing energy drink portfolio and the attractive healthy lifestyle energy category, and PepsiCo will assist with the cost associated with the transitioning of the existing Celsius distribution agreements. In parallel, with \$550 million convertible preferred stock investment made by PepsiCo in Celsius and the investment aligns incentives for both parties and the shares underlying the investment were priced at \$75 per share approximately 7.3 million shares when -- which equates to approximately an 8.5% ownership in Celsius on an as-converted basis. The preferred shares receive a 5% annual dividend and quarterly in cash or in kind at Celsius's option primary proceeds be used to fund growth initiatives, capital investments, and operating expenses. In addition, PepsiCo will nominate a director to the Board of Directors at Celsius, increasing our Board size currently from eight to nine.

The agreements provide a transformational opportunity to gain immediate scale and accelerate market share by securing additional best-in-class North American distribution network and global reach as well as providing the funds necessary to take Celsius to the next level. The distribution provides additional access to new consumers and usage occasions through diverse channel exposures and expansion in food service, independent convenience including PepsiCo's Medals program, expansion in vending, college campuses, concessions and expansion in the military, they are equity investment aligns mutual long term insurance while strengthening the balance sheet for working capital and growth investments. On a go-forward basis, the distribution agreement is expected to add significant topline scale and accelerate growth with substantial gross profits and operational margin accretion expected from leveraging PepsiCo's leading DSD network and rapid scale of our business.

With that I'd like to turn the call over to Jarrod Langhans, our Chief Financial Officer, to cover the highly strategic rationale of the agreements, Jarrod?

Jarrod Langhans {BIO 18706067 <GO>}

Thanks, John, and good afternoon, everyone. Moving to Slide 5. Partnering with PepsiCo is a transformational opportunity to gain immediate scale and accelerate market share by securing access to a leading North American DSD network with global reach. The agreement provides material expansion across new and existing channels with the addition of significant incremental doors, coolers, and ACV upside. In addition, we have significant opportunities to streamline our supply chain with aligned incentives and added focus. We also now have a long-term partner who can

provide substantial international whitespace for global expansion. This partnership grants us access to new consumption occasions through diversified channel exposure, where we will gain meaningful penetration across channels such as food service, independent convenience, vending, college campuses, concessions, and the military, allowing us to reach new customers and occasions by leveraging our unique product versatility that caters to all times of the day and night unlike many of our competitors.

We will also gain access to thousands of existing coolers, if it's cold, it's sold. We will benefit from portfolio optimization through the strategic alliance with a global leader in beverages as we add a rapidly growing healthy lifestyle energy brand to PepsiCo's existing energy portfolio and we will benefit from PepsiCo's vast experience and resources as a global beverage leader while retaining our entrepreneurs' identity and agility. The partnership also includes a meaningful preferred equity investment, which align long-term interest while strengthening our balance sheet position for working capital and growth investment. As a part of the agreement, we will work in unison as we develop and refine our joint distribution business plan, which contains clearly defined KPIs and goals to ensure alignment. As noted, we will deploy capital to support our growth plan, including coolers and vending rollouts, sales and marketing opportunities, sales force growth, fleet expansion, and international expansion.

Turning to Slide 6, we are very thankful for all the independent distributors that have supported Celsius over the years. If it wasn't for them, then we wouldn't be where we are today. With that said, we have had a very fragmented national DSD network represented by an excess of 250 independent regional distributors. These partnerships have been independently managed supported and built. Upon transition, PepsiCo provides a highly efficient and cohesive route to market in North America with additional global expansion opportunities. Transitioning from a significant number of independent distributors to a national partner allows our team to consolidate sales, marketing, and distribution efforts with the associated cost benefits, which we expect to recognize and leverage once the transition is completed. We will provide additional clarity on operational leverage and targets as we move through the transition.

Slide 7 provides specific opportunities to drive additional consumption through convenience, college campuses, vending, food service, and sports arenas. PepsiCo's network is optimally positioned to drive Celsius consumption across new occasions with multiple touch points throughout the consumers' day and night. Moving to Slide 8, you will find additional details on the use of proceeds from the equity investment. Driving growth, we will have additional firepower to accelerate the rollout of coolers on average coolers place paid for themselves in four months and store sales accelerate significantly. We will invest in sales, marketing, and R&D in areas such as digital social media, sponsorships, and flavored profiles. We will invest in our fleet to support our fast growing sales force and marketing team and the funds will help facilitate entry into new channels and geographies such as Canada and Europe.

Balance sheet and working capital, this investment strengthens our balance sheet and provides for ample working capital needs. It also gives us the ability to invest ahead of growth and the optionality around other opportunities for expansion. As John, previously noted, we are very excited about this partnership. We believe that the value accretion to our business and stakeholders is immense and we look forward to the next step in the company's journey.

Questions And Answers

Operator

Thank you. We will now be conducting a question-and-answer session. (Operators Instructions). One moment please, while we poll for your questions. Our first question comes from the line of Kaumil Gajrawala with Credit Suisse. Please proceed with your questions.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Hi, everybody, and congratulations. I think the first question, maybe the most important question is distribution changeovers while they, particularly this one, I'm sure great for the long term, the transition process, very rarely goes smoothly and your brand has a lot of momentum at the moment, what are you doing to assure that you don't lose this momentum as you go through this period of transition?

A - John Fieldly {BIO 17560616 <GO>}

Hi, Kaumil, it's John, thanks for asking the question. We are being extremely strategic about this transition and I agree, a lot of blocking the wrong, a lot has gone wrong with a variety of other brands. We're working really closely with our partners on a smooth transition. We have, as you know, Tony Guilfoyle, and many of our team members have worked with the PepsiCo system in the past on transitions, so we have a roadmap that we put together. We are monitoring extremely closely through the process. We feel like we have a good strategic plan working together, but it is a -- in the past you've seen brands have struggled and we're going to keep an eye on it through the process.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Okay. And then on termination agreements, I think I read that you will largely be responsible for them, do you have a rough idea how much that's going to cost, said in another way, maybe how much of that 550 [ph] it might eat?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, we do have actually -- what it will be is actually neutral to Celsius. So, we're working through that process on a cash basis, it will be neutral, likely it is going to have to be recognized in our financial statements in Q3, we are working on those numbers now, we have -- but it will be cash neutral to Celsius on a go-forward.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Okay, got it. And then final question, a little surprised to see M&A as a highlight on some of what you might do with proceeds, given everything that you've got going on with the core business, why is now the right time to think about -- also be thinking about M&A?

A - John Fieldly {BIO 17560616 <GO>}

I think there is opportunities there for M&A, we put that on the list as a potential use of proceeds, and as we go forward, it's going to allow us to be nimble, we are extremely focused on our core portfolio with Celsius taking a broader and wider and taking advantage of this partnership, but M&A is not out of the question on a go forward basis over -- as we look over the horizon.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Okay, got it. Thank you, guys, congrats

A - John Fieldly {BIO 17560616 <GO>}

Thank you.

Operator

Thank you. Our next question comes from the line of Kevin Grundy with Jefferies. Please proceed with your questions.

Q - Kevin Grundy {BIO 16423871 <GO>}

Right. Thanks, good afternoon, everyone, and I want to extend my congratulations as well. Maybe start with just the structure of the deal and why this is the right structure, including the financing component, and John, maybe just spend a moment, I think recent commentary has been that the company could self-fund its growth, it's nicely profitable and throws off free cash flow, so why this structure, and why is it the appropriate one? And then I think importantly just maybe discuss the timing around the investments that you outlined and what this is going to mean for the company's growth both domestically and abroad? And then I have some follow-ups. Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Okay, excellent. Thank you, Kevin. I'll let Jarrod talk about the specific details of the arrangements, but in general, we had made comments, we have been cash flow positive, the Company has been operating in a positive EBITDA. When we look at this investment for the company, we felt it was important with partnering with PepsiCo to have them take a meaningful stake in the business, have skin in the game as well. We do see a lot of opportunities and potential vertical integration and continuing to maximize the opportunities through this transition as we're getting broader distribution and we felt the timing is right now. We're giving the changes in consumer mindset, fitness is a megatrend, the way the product is resonating with consumers and a broader consumers each and every day, we felt that it was -- it was

time and especially with the partnership and that was at the table, which really came to fruition around mid-June when you look at the timeline there up to that point, but I think having skin [ph] in the game is important, also increases our working capital and our balance sheet allows us to be nimble and take advantage of opportunities. But, I'll turn it over to Jarrod to talk about some of the specifics in regards to the structure of the deal.

A - Jarrod Langhans {BIO 18706067 <GO>}

Kevin, John, pretty much covered it, I mean, the goal is really to make sure that we are fully aligned in maximizing the potential of the distribution agreement, having skin in the game, having an investment, we just felt it was important to wrap both pieces together into one, both an investment and the distribution, so that's where we were with it. There was a lot of back and forth, I think, we both got to both sides and you have (inaudible) them for their opinion, but I think both sides got to a comfortable place with the instrument and we feel that, if you look at all the instruments combined, it really sets us up for success going forward and making sure that we're both fully aligned as we go forward.

Q - Kevin Grundy {BIO 16423871 <GO>}

Thanks, guys. Just to stay with this, how quickly will the \$550 million be deployed, what are the key areas that you're looking at? The growth has been fantastic through the current system with AB [ph], what do you see as sort of the major channels, I would imagine it's going to be sort of small format and convenience, but how quickly is the cash going to be deployed, how should we be thinking about that? What are the key channel opportunities and maybe you could put some guardrails around what this is going to mean for the company's growth both in the US and abroad?

A - Jarrod Langhans {BIO 18706067 <GO>}

Yeah, so, we're not going to be quick and rush into anything, as John always preached, we're looking for profitable growth. This gives us the opportunity to invest ahead of some of that growth. It also gives us the opportunity to increase some of our purchases that we were going to make over multiple years such as coolers and lending and different things like that instead of a five-year plan, we can get it deployed in a couple of years, which will -- those have great returns on them, it's a matter of months, so we'll deploy those types of things. Given the supply chain, it might take a few months for some of those, but we will look to deploy the things that will drive growth and drive profits first. In terms of stuff like M&A or -- we're looking into things to improve the COGS [ph] line, vertical integration or things like that, we will look into it, but we're not going to rush out anything. The most important thing is really going to be making sure that we have a successful transition.

So, we will do some inventory building and make sure that Pepsi has the product ready when they are launching, so that's something that we'll do ahead of time. So, you will see some working capital used for that, but really it's having that firepower going forward. I wouldn't expect to see the \$550 million depleted in like six or seven months, it's going to take a while to use it, but it will be good, so that we can build inventory, so we can drive growth and then have the funds available to do so.

Q - Kevin Grundy {BIO 16423871 <GO>}

Okay. So just to clean up, John, before I pass it, I don't want to monopolize anymore time, I'll hop back in the queue, but anything specifically you can share with investors just in terms of how you expect this to accelerate the company's topline growth, which is already been very, very good, just some help there in terms of what this is going to mean as you guys see it with respect to distribution gains, with respect to velocity, anything with respect to targeted market share, where we were versus where you think this can now go through the Pepsi system versus what was largely the AB system? And then I'll pass it on and hop back in the queue. Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Yeah, thank you, Kevin. Regards to opportunities, we anticipate over the next 12 months about a 40% increase in just expansion in distribution. There's a lot of opportunities as we talked about college campuses, food service is a major opportunity, especially we're seeing a lot of consumption around lunch time with Celsius. So, we think the food service portion through the PepsiCo system could be a massive opportunity for us and we're really excited where we're at right now. We need to stay focused on the transition over the next 90 to 120 days, and then we will be set for 2023, where we're headed.

Q - Kevin Grundy {BIO 16423871 <GO>}

Okay, very good. Thanks for the time.

Operator

Thank you. Our next questions come from the line of Peter Grom with UBS. Please proceed with your questions.

Q - Peter Grom {BIO 16488235 <GO>}

Hey, good afternoon, everyone, and congrats from me as well. So, maybe just to start, I know the international opportunity was mentioned in the release and then in the presentation, but can you maybe help us frame a timeline around that opportunity in any initial markets where you see the greatest opportunity initially?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. When we look at the opportunity, thank you, Peter. When you look at the opportunities, we see really probably in the next 24 to 48 months opportunities to expand into the UK and Germany as opportunities as well as Canada and other markets in Western Europe. So, we're in the early stages, we're going to continue, we're going to support strategic relationships with some of their distribution partners in the international markets, but I would say probably in the next 24 -- around 24 months into the relationship we look to gain distribution in international markets.

Q - Peter Grom {BIO 16488235 <GO>}

Got it. That's helpful. And then maybe pivoting to kind of the cost savings and margin accretion opportunity that you outlined this morning and in the presentation. Can you maybe help us frame what substantial margin accretion looks like or kind of a broader idea around the near-term or long-term margin expectations as a result of this transaction and how quickly do you really expect to be able to realize these cost savings?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I'll throw it over to Jarrod.

A - Jarrod Langhans {BIO 18706067 <GO>}

Yeah, be very high level today since we haven't issued our (inaudible), so I don't want to get too much into forward projection, but this will really simplify our business in terms of our sales and our marketing teams, even our back shop, we're going to go from a couple of hundred distributors to one, so there is a lot of simplification there. It allows us to do a lot of streamlining, having the cash available as well as their supply of power in terms of looking at coolers and different types of CapEx spend that they will assist us with. So, we have an opportunity from utilizing their scale to having faster growth and be able to utilize our scale and streamline. So, there is a number of areas that we'll be able to really benefit from with the faster sales growth and able to simplify the system, we won't need to be staffing up as much as we would have if we were managing 250 plus distributors. So, there is a lot of opportunities to really have a more simple scaled approach as we move forward and also the opportunity to get that topline growth quicker.

Q - Peter Grom {BIO 16488235 <GO>}

Got it and then last, little more housekeeping, before I pass it on. Is there anything within this agreement that restricts what categories or types of innovation you are able to pursue, I mean, we've seen situations like this energy drinks in the past? I'm just curious is whether you're now combined energy drinks or whether you can still pursue innovation if you want it other categories where Pepsi may have a greater presence?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, there are opportunities in a variety of different beverage channels. Now, I think most people do know that there are certain partnerships that Pepsi is in that would restrict us and obviously, they wouldn't carry that on their truck because they already have those agreements in place. So, there are some things, the different areas that we look into and sticking to that kind of health and lifestyle focus. There is not things that we've been talking about, internally we're not restricted from. There are going to be some restrictions based on previous agreement they have, so we wouldn't be able to get those specific products onto the trucks, but to be honest those areas aren't areas we're focused on anyway.

Q - Peter Grom {BIO 16488235 <GO>}

Got it. Thanks so much and congrats again.

Operator

Thank you. Our next questions come from the line of Mark Astrachan with Stifel. Please proceed with your questions.

Q - Mark Astrachan {BIO 15313233 <GO>}

Yeah, hey, good afternoon, everyone. Few questions as this hasn't been answered yet. If I'm hearing and reading correctly, it sounds like the convertible can be converted over the next six years, but it doesn't sound like there is a path towards PepsiCo owning more of you than what's there, so is that correct? And I guess, you broadly speaking why is not having a path to ownership or more control the right one here and sort of related to that, is Celsius the exclusive non-PepsiCo owned energy drink or is Pepsi able to own other or to distribute other non-own brands and you kind of pulling that question altogether, how do you avoid the kind of healthy tension that some others have had when they created arrangements like this within the category?

A - John Fieldly {BIO 17560616 <GO>}

So, let's start on the instrument first, then I will get too deep into it, but there is the opportunity for Pepsi to grow their ownership interest over time beyond what they've got, that's one, and two, there is nothing restricting them from either coming in and having a deeper conversation with us in terms of even more, but there is the ability for them to add to that, not necessarily in a preferred nature, but they have the opportunity to add to that. Now, if they want to come and talk more about the (inaudible) they are welcome to do that as well. So from that perspective, I don't think there is any like deep restrictions for them to take a bigger stake over time.

A - Jarrod Langhans {BIO 18706067 <GO>}

Yeah, I mean, if you look at the opportunities here, we are going to be the exclusive healthy functional energy drink on the portfolio, we are talking about a solid portfolio to be the lead in the energy drink category. So as we go forward, I think there is a massive opportunity, we fit in extremely nicely to the current existing portfolio. We fill a massive gap and the opportunity that we have ahead of us is massive and we do think we have enough protections in the contract. We understand some of the relationships in the past and we think the relationship going forward with the team members is extremely aligned with interest as well as an investment.

Q - Mark Astrachan {BIO 15313233 <GO>}

Got it. That's helpful. Maybe just to follow up on that. So the discussions potentially in the future, are there specific criteria to be met, is there a specific timeline involved in it or is it just kind of when each party wants to potentially have future discussions? That's one, and then just two housekeeping questions if I could squeeze them in. One, is there a production or procurement opportunity here meaning at some point does or can PepsiCo produce and procure raw materials for you and then are you paying an access fee to Pepsi for access to the system? Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Yeah, actually, when you look number one with regards to -- we are not paying an access fee, this is a true partnership. There is opportunities for them to further invest as Jarrod mentioned, right now this is the initial investment and we're going to continue to see opportunities ahead. There is nothing structurally that requires investment over a period of time. As we grow in scale and further leverage the relationship, there is a lot of synergies to leverage in this relationship from supply chain vertical integration, none of that has been really earmarked at the moment, although there's talks and plans for that on a go-forward basis. We really need to get through this transition period or execute upon that and then we'll build upon and will further leverage the opportunities in the synergies that both parties see.

Q - Mark Astrachan {BIO 15313233 <GO>}

Got it. Okay, great, thank you, guys. Hard not to be happy with this deal today.

A - John Fieldly {BIO 17560616 <GO>}

I agree it, thank you.

Operator

Thank you. Our next questions comes from the line of Bonnie Herzog with Goldman Sachs. Please proceed with your questions.

Q - Bonnie Herzog {BIO 1840179 <GO>}

Hi, everyone. I just had a couple of quick questions. I guess my first one is, I was curious why you decided to do this now, you mentioned, your distribution, John, it has been fragmented for a while, so was it just because Pepsi was your preferred partner and you were sort of waiting for them or curious did you entertain other potential distribution partners?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. Thank you, Bonnie. When you look at the opportunity that this provides us, it kind of touched on some of the synergies of one provider, our partners have been great, our distribution partners, all of our independent distribution partners have been just really key to the success of the company. We thank them greatly, greatly, without them we wouldn't be where we are today. But, when you look at the challenges you have with executing a national rollout or a national execution with a with JP Morgandistribution network it adds a lot of complexities to it. And no, we weren't looking for the partnership. This opportunity risen and we weighted it accordingly, and we saw the synergies, talking about reducing the number of shipping points, the billings, and the bill backs, and then the collaboration with (inaudible) Inc as well, some of the partnerships and some accounts of co-branding and marketing, so when you look at it holistically, we really see a lot of opportunity, and with their support and being the number one in the PepsiCo system and the lead in the energy drink portfolio, it was really an opportunity we saw we couldn't turn down with where everything was structured. So, we're really excited about the

partnership and we think it's going to be the best partnership and we have more to come..

Q - Bonnie Herzog {BIO 1840179 <GO>}

Okay, that makes sense. And then just I wanted to clarify something, I think somebody else asked earlier about this, but I just want to make sure I'm clear about the agreement and is there something in the agreement that sort of gives you the comfort that Pepsi maybe won't prioritize distribution of their brands versus yours, I'm Just trying to make sure that you're getting what you need, especially given your brand is not going to be the only energy drink in their portfolio, so how did you ensure that or get comfortable with that?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I think we do have an exclusive in regards to healthy functional energy drink for initial two years, 24 months, and then we have specific KPIs with a joint business (Technical Difficulty) drafted that has to be here too on an annual basis that will be both collaborating with, so we felt the way we restructured with the core KPIs, which are required to be achieved upon specific goals, we feel there is enough controls in there to keep us relevant in their system and also with the investment as well, that was another reason why we thought the investment was so important because we need both companies to really align together in the opportunity we have

Q - Bonnie Herzog {BIO 1840179 <GO>}

Okay, that makes sense, and congratulations.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Bonnie.

Operator

Thank you. Our next questions comes from the line of Andrea Teixeira with JP Morgan. Please proceed with your questions.

Q - Andrea Teixeira {BIO 1941397 <GO>}

Thank you. Good afternoon. I also want to echo the congratulations on this deal. I have a question and a clarification, first keeping on the topic of Pepsi potentially increasing the stake from the eight and a half to higher, is that after the six years or within those six years, next six years you can -- they can increase the stake if you reach certain thresholds? And then what is the maximum stake they can reach? And then the clarification is when you say vertical integration and I appreciate, obviously, the synergies, is that more of a global procurement or perhaps coolers, of course, the CapEx side, you may negotiate together to put the coolers in or do you see -- you foresee Pepsi partners in the US in particular packing some of your products and how to understand how the co-packing situation will go from here? I'm assuming the 250 distributors is pretty much set, but on -- from a production perspective, how do you see it evolving?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I think when you look at -- look around the relationship piece over there and the additional investments, I mean, this is just the initial investment that you would have to really ask them those specific questions, but there is opportunities on a go-forward basis for them to further invest in the company, that's -- in regards to where we see our investments on a go-forward basis, global procurement, there is opportunities there. We'll evaluate those opportunities as we continue to expand out, this is a North America deal currently with international opportunities that we'll need to structure separately, but those opportunities and alignments exist for global expansion. And when you see the investment opportunities, we talked about coolers, also optimization of the supply chain. In regards to co-packing, they don't have the capabilities to pack our product today, so we currently will be leveraging and using our existing co-pack network going forward and expanding upon that as well.

Q - Andrea Teixeira {BIO 1941397 <GO>}

Thank you. Appreciate it.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Andrea.

Operator

Thank you. Our next question comes from the line of Jeff Van Sinderen with B. Riley. Please proceed with your questions.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Hi, everyone, and let me add my congratulations. Thanks for taking my questions. Any sense you can give us on the KPIs that need to be obtained under the agreement, maybe order of magnitude there?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. Thank you, Jeff. Not going to give the specifics on those KPIs, but there is a specific number of KPIs that we are tracking and will jointly agree on and execute it within the contract that range from distribution to ACV and deliveries because the key is with the distribution system, need proper delivery, keeping our product in stock, as well, say with our coolers we're looking to place, if it's cold, it's sold. So, there is a lot of variety of executional KPIs that will be mutually agreed upon, and that's how we'll manage the business on a go-forward basis.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay. And then if we can switch to your co-packing strategy, just wondering how that might change as a result of the Pepsi agreement?

A - John Fieldly {BIO 17560616 <GO>}

And the co-packing, I'm not seeing any immediate changes on the co-packing, with the opportunities we see ahead, with the expansion and distribution, it could be growing.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay, and then just one other if I could squeeze it in, Pepsi has a phenomenal distribution network, I don't think anybody will argue with that, realize every partnership is different, but with that being said, maybe you could just speak to just (inaudible) you want to what you think went wrong with the bank partnership and then really what was learned from the failure of that partnership that you can apply to this partnership?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, great question, Jeff. I'm not going to make any comments in regards to that relationship, but in general, when you look at the operational, some of the operational metrics around that, the performance of the operational metrics, they seem to -- it did work out the distribution increase, their product availability, I think there was more challenges there, then the operational execution of the PepsiCo system, I'll just leave it at that.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay. Thanks for taking my questions and best of luck.

A - John Fieldly {BIO 17560616 <GO>}

Thank you.

Operator

Thank you. Our next questions come from the line of Anthony Vendetti with Maxim Group. Please proceed with your questions.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Thanks. Thanks. Yeah, John, I would agree [ph] transformational, lot of hard work to get here, maybe just talk a little bit, John, about the distributors that you currently have, like you said they've done a great job, you have 250 of them, obviously, a lot to manage, how long do you think this transition will take approximately and are there any, I know Pepsis the preferred distributors, but are there any current outstanding distributors that you may say, you know what, in this particular case we will stay with this distributor or is the agreement that you have to eventually transition 100% to Pepsi?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, no. Thank you, Anthony. It's been an amazing journey, and this is just another stepping stone on where we're headed on our journey, it's really exciting. Our distribution partners, like I said, have been great. We thought that national distribution network out, the teams have been working extremely hard on optimizing and really, really winning them over. When you look at the last 18 to 24 months, It's been really exciting to seeing some of these distribution houses really increase velocity and start to see the value of Celsius, which we worked, hard to create. When you look at the transition, we will be transitioning over the majority of our distributors over to the PepsiCo system by the end of the year and there will be a few distributors that remain within our current system, but the majority of distributors will be moved over to the Pepsi system and I can't thank them enough, without the distributors, like we've talked about, Anthony, I mean, on the calls, all the out-of-stocks we've had and working so hard to get our distributors to service our retailers and seeing the displays that we're executing in the trade is just been -- just been great to see, and like I said, I appreciate all the support and this is just one more step on the brand evolution as we grow and gain scale, and now we have a really a national opportunity to take Celsius to number one, and that really gains efficiencies through the supply chain, through our logistics team, through our sales organization, key account execution, we go through forward to having a great selling season in the back half of this year, we leverage PepsiCo's sales team members and their relationships and we enter 2023 in a big way.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Okay. So, just two quick follow-ups to that. So, you said this would be in terms of the transition and the termination for most of these distributors it will be neutral, is that because Pepsi is helping offset some of those costs or how is that going to be?

A - John Fieldly {BIO 17560616 <GO>}

That's correct. Yeah, outside of the investment, the investment of \$550 million investment with the preferred instrument is growth capital. There'll be other funding that will be associated with any associated buyouts or transitional costs that the company will incur, that's the reason we're saying it's cash neutral.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Got it. Okay, that's what I thought, just wanted to double-check on that. And then quickly on the reset, the shelf resets, is this going to -- is this more going to be more for 2023 as you're transitioning or are you expecting some initial gains because of the increase distribution that Pepsi has before the end of this year?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. I think when you look at it, I mean we're going to have initial selling into the PepsiCo system and that will take place in the third quarter, but the bulk of our distribution will be migrating towards the end of the third quarter into the fourth quarter. So, I think we might get some distribution gains, but I think the real gain is going to happen towards the back half of Q4 and into Q1 into 2023 [ph] when the resets take place. Our team has been doing a great job. We've already had 2023 review meetings with many of our key customers, now retailers, so it's pretty excited

getting involved in the front end of the review season and talking about some of the great innovation that the teams have planned for 2023.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Excellent, thanks so much. I really appreciate it. Thanks.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Anthony.

Operator

Thank you. (Operators Instructions). Our next questions come from the line of Sean McGowan with ROTH Capital Partners. Please proceed with your question.

Q - Sean McGowan {BIO 1495825 <GO>}

Thank you. Congrats, guys. I appreciate, you're taking the time to do this and for dealing with so much of the detail, that's good. Very helpful. I had some questions on how this is going to show up with the economic model impact will be on this, so a couple of questions. Would we expect to see kind of unusual charges the balance of the year or will some of these costs and termination things be folded into existing expense categories?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I'll turn it over to Jarrod, he can talk about some of the accounting treatment around that. Jarrod?

A - Jarrod Langhans {BIO 18706067 <GO>}

I can have more information after we issue our earnings results next week, but the termination fees will call out separately. We'll also call out the costs associated with the transaction separately so that you can have an apple-to-apple comparison as if these costs weren't incurred. There is also the assistance in the termination expenses, will be called out separately as well, that will be mainly the cash flow thing, with GAAP it's a little -- it's interesting that the termination fee expense gets booked in full, but the assistance provided by Pepsi will get recorded to the balance sheet and amortized over the (inaudible). So there will be a little bit of nuance there that we can better, I'll explain more next, we can able (inaudible) out for that. From the preferred instrument perspective, it will be mezzanine equity, so the dividend will still flow through the cash flow statement, but it will be in that section of the balance sheet above the equity and below the debt or below the liability section alluded to make the call out for you.

Q - Sean McGowan {BIO 1495825 <GO>}

Thank you. And then kind of a related question to something you just touched on, you talked earlier in the call about long-term margin accretion opportunity from the arrangement, but is there, aside from one-time things in termination and all that, is there near term negative hit to margin, like will you be selling product capacity

effectively at a lower price that you might have been selling into some of these other partners?

A - Jarrod Langhans {BIO 18706067 <GO>}

No, it's more or less neutral.

Q - Sean McGowan {BIO 1495825 <GO>}

Okay. All right, thank you very much, I appreciate that.

Operator

Thank you. There are no further questions at this time, I would now like to turn the call back over to John Fieldly for any closing comments.

A - John Fieldly {BIO 17560616 <GO>}

Thank you. On behalf of the company, I'd like to thank all of our partners and everyone who has contributed to our success. Our active lifestyle position is a global position with mass appeal. This partnership will allow us to further build upon our core leverage best practices and maximize the opportunities we see ahead. Thank you to all of our investors for the continued support and confidence in our team, cheers us today with the Celsius, stay healthy and lift it. Thank you.

Operator

Thank you. This does conclude today's teleconference. We appreciate your participation.

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